

**THE YOUNGSTOWN EDISON
INCUBATOR CORPORATION dba
YOUNGSTOWN BUSINESS INCUBATOR**

FINANCIAL REPORT

December 31, 2023 and 2022



THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

CONTENTS

	<u>Page</u>
INDEPENDENT AUDITORS' REPORT ON THE FINANCIAL STATEMENTS	1-2
FINANCIAL STATEMENTS	
Statements of financial position	3
Statements of activities	4-5
Statements of functional expenses	6-7
Statements of cash flows	8
Notes to financial statements	9-14
UNIFORM GUIDANCE AUDIT REQUIREMENTS	
Schedule of expenditures of federal awards	15
Notes to schedule of expenditures of federal awards	16
Independent auditors' report on internal control over financial reporting and on compliance and other matters based on an audit of financial statements performed in accordance with Government Auditing Standards	17-18
Independent auditors' report on compliance for each major program and on internal control over compliance required by the Uniform Guidance	19-21
Schedule of findings and questioned costs	22-23



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Independent Auditors' Report

Board of Directors
The Youngstown Edison Incubator Corporation
dba Youngstown Business Incubator
Youngstown, Ohio

Opinion

We have audited the financial statements of The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator (a non profit organization), which comprise the statements of financial position as of December 31, 2023 and 2022, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of Youngstown Business Incubator as of December 31, 2023 and 2022, and the changes in its net assets and cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America ("GAAS") and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Our responsibilities under those standards are further described in the Auditors' Responsibilities for the Audits of the Financial Statements section of our report. We are required to be independent of Youngstown Business Incubator and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about Youngstown Business Incubator's ability to continue as a going concern within one year after the date that the financial statements are available to be issued.

Auditors' Responsibilities for the Audits of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance but it is not absolute assurance and, therefore, is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of Youngstown Business Incubator's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about Youngstown Business Incubator's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audits, significant audit findings, and certain internal control related matters that we identified during the audits.

Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The accompanying schedule of expenditures of federal awards, as required by Title 2 U.S. Code of Federal Regulations ("CFR") Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, is presented for purposes of additional analysis and is not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audits of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated in all material respects in relation to the financial statements as a whole.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 20, 2024 on our consideration of Youngstown Business Incubator's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of Youngstown Business Incubator's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Youngstown Business Incubator's internal control over financial reporting and compliance.



Cleveland, Ohio
November 20, 2024

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENTS OF FINANCIAL POSITION

December 31, 2023 and 2022

	<u>2023</u>	<u>2022</u>
ASSETS		
Current Assets		
Cash and equivalents	\$ 878,155	\$ 887,176
Accounts receivable, net of credit losses of \$80,138 and \$65,347, respectively	369,280	160,214
Accounts receivable - grants	420,524	924,564
Prepaid expenses	<u>29,782</u>	<u>9,711</u>
Total current assets	1,697,741	1,981,665
Other Assets		
Partnership interest	50,000	50,000
Note receivable	-	50,000
Property and equipment, net	<u>11,789,358</u>	<u>12,284,625</u>
Total other assets	<u>11,839,358</u>	<u>12,384,625</u>
 Total assets	 <u><u>\$ 13,537,099</u></u>	 <u><u>\$ 14,366,290</u></u>
Liabilities		
Current Liabilities		
Lines of credit	\$ 174,000	\$ 596,747
Accounts payable - operations	289,383	588,160
Grants payable	97,294	25,478
Other accrued expenses	11,492	16,504
Deferred revenue	360,681	289,794
Current portion of long-term debt	<u>54,739</u>	<u>71,859</u>
Total current liabilities	987,589	1,588,542
Long-Term Debt, less current portion	<u>830,304</u>	<u>883,418</u>
 Total liabilities	 1,817,893	 2,471,960
Net Assets		
Without donor restrictions	11,281,798	11,880,873
With donor restrictions	<u>437,408</u>	<u>13,457</u>
 Total net assets	 <u><u>11,719,206</u></u>	 <u><u>11,894,330</u></u>
 Total liabilities and net assets	 <u><u>\$ 13,537,099</u></u>	 <u><u>\$ 14,366,290</u></u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENT OF ACTIVITIES

Year Ended December 31, 2023

	Without Donor Restrictions	With Donor Restrictions	Totals
REVENUES			
Grants	\$ 2,385,394		\$ 2,385,394
Contribution income	337,043	\$ 629,768	966,811
Program services	296,324		296,324
Rental income	649,378		649,378
Miscellaneous	22,922		22,922
Net assets released from restrictions	<u>205,817</u>	<u>(205,817)</u>	<u>-</u>
Total revenues	3,896,878	423,951	4,320,829
EXPENSES			
Program services	3,654,693		3,654,693
Management and general	516,632		516,632
Fundraising	<u>324,628</u>		<u>324,628</u>
Total expenses	<u>4,495,953</u>		<u>4,495,953</u>
(DECREASE) INCREASE IN NET ASSETS	(599,075)	423,951	(175,124)
NET ASSETS – BEGINNING	<u>11,880,873</u>	<u>13,457</u>	<u>11,894,330</u>
NET ASSETS – ENDING	<u>\$ 11,281,798</u>	<u>\$ 437,408</u>	<u>\$ 11,719,206</u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENT OF ACTIVITIES

Year Ended December 31, 2022

	Without Donor Restrictions	With Donor Restrictions	Totals
REVENUES			
Grants	\$ 2,912,700		\$ 2,912,700
Contribution income	501,443	\$ 208,026	709,469
Program services	114,795		114,795
Rental income	435,525		435,525
Miscellaneous	27,456		27,456
Net assets released from restrictions	<u>238,463</u>	<u>(238,463)</u>	<u>-</u>
Total revenues	4,230,382	(30,437)	4,199,945
EXPENSES			
Program services	3,770,921		3,770,921
Management and general	619,411		619,411
Fundraising	<u>167,186</u>		<u>167,186</u>
Total expenses	<u>4,557,518</u>		<u>4,557,518</u>
DECREASE IN NET ASSETS	(327,136)	(30,437)	(357,573)
NET ASSETS – BEGINNING	<u>12,208,009</u>	<u>43,894</u>	<u>12,251,903</u>
NET ASSETS – ENDING	<u>\$11,880,873</u>	<u>\$ 13,457</u>	<u>\$11,894,330</u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENT OF FUNCTIONAL EXPENSES

Year Ended December 31, 2023

	<u>Program Services</u>	<u>Management and General</u>	<u>Fundraising</u>	<u>Totals</u>
Salaries and wages	\$1,010,358	\$ 212,470	\$ 60,164	\$1,282,992
Employee benefits	138,454	22,971	3,200	164,625
Payroll taxes	<u>86,968</u>	<u>17,356</u>	<u>5,152</u>	<u>109,476</u>
Total payroll expenses	1,235,780	252,797	68,516	1,557,093
Depreciation	559,119	114,925	33,274	707,318
Grants	698,061			698,061
Dues and subscriptions	27,732	5,643	1,634	35,009
Equipment rental and maintenance	10,598	2,178	631	13,407
Professional fees	512,701	17,095	5,371	535,167
Insurance	39,624	8,145	2,357	50,126
Credit loss expense	77,427	15,915	4,608	97,950
Marketing and promotion	825		174,697	175,522
Miscellaneous	3,990	821	237	5,048
Occupancy	364,505	74,923	21,692	461,120
Supplies	9,499	1,931	4,847	16,277
Telephone	14,101	2,898	839	17,838
Real estate tax	30,330	6,234	1,805	38,369
Training and seminars	12,919	1,587	738	15,244
Meals	7,971	1,363	436	9,770
Interest expense	<u>49,511</u>	<u>10,177</u>	<u>2,946</u>	<u>62,634</u>
Total	<u>\$3,654,693</u>	<u>\$ 516,632</u>	<u>\$ 324,628</u>	<u>\$4,495,953</u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENT OF FUNCTIONAL EXPENSES

Year Ended December 31, 2022

	<u>Program Services</u>	<u>Management and General</u>	<u>Fundraising</u>	<u>Totals</u>
Salaries and wages	\$ 817,455	\$ 225,616	\$ 5,188	\$ 1,048,259
Employee benefits	92,113	21,722	574	114,409
Payroll taxes	<u>70,401</u>	<u>18,459</u>	<u>440</u>	<u>89,300</u>
Total payroll expenses	979,969	265,797	6,202	1,251,968
Depreciation	544,539	155,984	3,446	703,969
Grants	517,164			517,164
Dues and subscriptions	21,196	6,070	134	27,400
Equipment rental and maintenance	21,675	6,207	137	28,019
Professional fees	1,113,108	25,388	4,821	1,143,317
Insurance	35,129	10,060	222	45,411
Credit loss expense	35,404	10,139	224	45,767
Marketing and promotion			148,592	148,592
Miscellaneous	3,864	1,107	24	4,995
Occupancy	363,838	104,196	2,302	470,336
Supplies	9,233	2,644	59	11,936
Telephone	29,963	8,581	190	38,734
Real estate tax	21,788	6,240	138	28,166
Training and seminars	18,321	1,122	345	19,788
Meals	8,886	2,457	54	11,397
Interest expense	<u>46,844</u>	<u>13,419</u>	<u>296</u>	<u>60,559</u>
Total	<u>\$ 3,770,921</u>	<u>\$ 619,411</u>	<u>\$ 167,186</u>	<u>\$ 4,557,518</u>

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

STATEMENTS OF CASH FLOWS

Years Ended December 31, 2023 and 2022

	<u>2023</u>	<u>2022</u>
CASH FLOWS FROM OPERATING ACTIVITIES		
Decrease in net assets	\$(175,124)	\$(357,573)
Adjustments to reconcile decrease in net assets to net cash provided by operating activities:		
Depreciation	707,318	703,969
Change in allowance for credit losses	14,792	45,767
Write-off on note receivable	50,000	-
Changes in operating assets and liabilities:		
Increase in accounts receivable	(223,858)	(196,160)
Decrease (increase) in grants receivable	504,040	(162,463)
Increase in prepaid expenses	(20,071)	(44)
(Decrease) increase in accounts payable	(298,777)	436,264
Increase (decrease) in grants payable	71,816	(178,362)
Decrease in other accrued expenses	(5,012)	(10,627)
Increase in deferred revenue	<u>70,887</u>	<u>286,844</u>
Net cash provided by operating activities	696,011	567,615
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property and equipment	(212,051)	(141,134)
CASH FLOWS FROM FINANCING ACTIVITIES		
Net (payments) borrowings on line of credit	(422,747)	401,747
Payments on long-term debt	<u>(70,234)</u>	<u>(91,648)</u>
Net cash (used) provided by financing activities	<u>(492,981)</u>	<u>310,099</u>
(DECREASE) INCREASE IN CASH AND EQUIVALENTS	(9,021)	736,580
CASH AND EQUIVALENTS – BEGINNING	<u>887,176</u>	<u>150,596</u>
CASH AND EQUIVALENTS – ENDING	<u>\$ 878,155</u>	<u>\$ 887,176</u>
Supplemental disclosure of cash flow information:		
Cash paid for interest	\$ 62,634	\$ 60,559

The accompanying notes are an integral part of these financial statements.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS

Summary of Significant Accounting Policies

- A. Nature of Activities – The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator (the "Organization") is an Ohio corporation formed in 1988, whose primary purpose is to accelerate the formation of businesses and job creation and assist in the revitalization and promotion of economic development in the Mahoning Valley. The Organization is supported primarily by contributions and grants, including funding from the Ohio Department of Development Edison Incubator Program.
- B. Accounting Method – The Organization's financial statements have been prepared on the accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America. The Organization has reported information regarding its financial position and activities according to two classes of net assets: without donor restrictions and with donor restrictions.
- Net Assets Without Donor Restrictions – Net assets that are not subject to or are no longer subject to donor-imposed restrictions.
- Net Assets With Donor Restrictions – Net assets whose use is limited by donor-imposed time and/or purpose restrictions.
- C. Change in Accounting Principle – As of January 1, 2023, the Organization adopted Accounting Standards Update No. 2016-13, *Financial Instruments – Credit Losses (Topic 326)* ("ASC 326"). ASC 326 replaced the incurred loss model for measuring the allowance for credit losses with a new model that reflects current expected credit losses ("CECL") that are expected to occur over the lifetime of the underlying accounts and notes receivable. The CECL methodology is applicable to financial assets that are measured at amortized cost, including trade accounts receivable and contract assets. The Organization adopted ASC 326 using a modified retrospective approach, which did not have a material impact to the financial statements.
- D. Use of Estimates – The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.
- E. Cash and Equivalents – The Organization considers all highly liquid debt instruments purchased with a maturity of three months or less to be cash equivalents. The Organization maintains at various financial institutions cash and equivalents which, at times, may exceed federally insured amounts and may significantly exceed statement of financial position amounts due to outstanding checks.
- F. Accounts Receivable – The Organization has receivable balances from tenants of \$449,418 and \$225,561 at December 31, 2023 and 2022, respectively. The Organization provides for uncollectible accounts receivable using the allowance method. The Organization estimates an allowance for credit losses based on its review of delinquent accounts, an assessment of the Organization's historical evidence of collections and the current and future condition of the economy as a whole. The allowance for credit losses was \$80,138 and \$65,347 at December 31, 2023 and 2022, respectively.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Summary of Significant Accounting Policies (Continued)

F. Accounts Receivable (Continued)

Changes in the allowance for credit losses for the year ended December 31, 2023 were as follows:

Balance, January 1, 2023	\$ 65,347
Provisions	97,950
Write-offs, net of recoveries	<u>(83,159)</u>
Balance, December 31, 2023	<u>\$ 80,138</u>

G. Accounts Receivable - Grants – The Organization has grant receivables primarily from government agencies of \$420,524 and \$924,564 at December 31, 2023 and 2022, respectively, which are recorded at the amount claimed for reimbursement and are considered to be fully collectible.

H. Note Receivable – The Organization had a note receivable from a business in the amount of \$50,000 at December 31, 2022, which was written off during 2023.

I. Contributions – The Organization considers all contributions as without donor restrictions unless specifically restricted by the donor. Donor restricted contributions are reported as increases in net assets with donor restrictions. When a restriction expires, net assets with donor restrictions are reclassified to net assets without donor restrictions.

A portion of the Organization's revenue is derived from cost-reimbursable government grants, which are conditioned upon certain performance requirements and/or the incurrence of allowable qualifying expenses. Amounts received are recognized as revenue when the Organization has incurred expenditures in compliance with specific grant provisions. Amounts received prior to incurring qualifying expenditures are reported as deferred revenue in the statements of financial position. As of December 31, 2023 and 2022, government grants totaling \$1,792,252 and \$39,766, respectively, have not been recognized in the accompanying financial statements because the conditions on which they depend have not been met.

Contributions of services are recognized if the services (a) create or enhance nonfinancial assets or (b) require specialized skills that are provided by individuals possessing those skills and would typically need to be purchased if not provided by donation. There were no contributed services meeting the requirements for recognition in the financial statements for the years ended December 31, 2023 and 2022.

J. Partnership Interest – The Organization accounts for a partnership interest on the cost method of accounting. At December 31, 2023 and 2022, the value of the Organization's investment in the partnership was \$50,000, a 2.12% ownership stake, and is reflected on the statements of financial position as partnership interest.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Summary of Significant Accounting Policies (Continued)

- K. Property and Equipment – Property and equipment is recorded at cost. Donations of property and equipment are recorded as support at their estimated fair value. Such donations are reported as without donor restriction support unless the donor has restricted the donated asset for a specific purpose. Assets donated with explicit restrictions regarding their use and contributions of cash that must be used to acquire property and equipment are recorded as restricted support. Absent donor stipulations regarding how long those donated assets must be maintained, the Organization reports expirations of donor restrictions when the donated or acquired assets are placed in service as instructed by the donor.

Depreciation is computed over the estimated useful life of the asset using the straight-line method. Maintenance, repairs and minor renewals are charged to expense when incurred, while additions and major betterments are capitalized.

- L. Grants Payable – The Organization received several grants which require payments to subrecipients based upon qualifying reimbursable grant expenditures. The balances of \$97,294 and \$25,478 at December 31, 2023 and 2022, respectively, represent payments required based upon reimbursable expenses incurred by the respective subrecipient grantees.
- M. Revenue Recognition – Program service revenue is recorded at established billing rates as services are rendered. Program services include workshops, seminars and additive manufacturing production and development. For the years ended December 31, 2023 and 2022, revenue from performance obligations satisfied at a point in time consist of all of the Organization's program service revenue.
- N. Functional Expenses – The costs of program and supporting services activities have been summarized on a functional basis in the statements of activities. The statements of functional expenses present the natural classification detail of expenses by function. Accordingly, costs have been allocated among the programs and supporting services benefited on the basis of estimates of time and effort.
- O. Tax Status – The Organization is a not-for-profit organization that is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code. The Organization's Forms 990, Return of Organization Exempt from Income Tax, are subject to examination by the IRS, generally for three years after they were filed.
- P. Subsequent Events – The Organization has evaluated subsequent events through November 20, 2024, which is the date the financial statements were available to be issued.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Note 1. Property and Equipment

Property and equipment at December 31, 2023 and 2022 consists of the following:

	<u>2023</u>	<u>2022</u>
Land and building	\$ 15,299,725	\$ 15,289,131
Building improvements	3,247,831	3,212,132
Office equipment and furniture	770,807	720,093
Furnishings and equipment	163,793	163,793
Assets held under capital lease	211,518	211,518
Construction in progress	<u>121,604</u>	<u>6,560</u>
	19,815,278	19,603,227
Less: accumulated depreciation	<u>8,025,920</u>	<u>7,318,602</u>
Property and equipment, net of accumulated depreciation	<u>\$ 11,789,358</u>	<u>\$ 12,284,625</u>
Depreciation expense for the year ended is:	<u>\$ 707,318</u>	<u>\$ 703,969</u>

Land and building and building improvements totaling \$18,547,556 and \$18,501,263 with accumulated depreciation of \$7,142,878 and \$6,512,146, as of December 31, 2023 and 2022, respectively, are predominately available to businesses in Mahoning Valley as operating leases to support and assist in economic development and revitalization.

Note 2. Liquidity and Availability

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year of the statement of financial position date, comprise the following:

	<u>2023</u>	<u>2022</u>
Cash and equivalents	\$ 878,155	\$ 887,176
Accounts receivable, net	369,280	160,214
Accounts receivable - grants	<u>420,524</u>	<u>924,564</u>
Total financial assets as of June 30	1,667,959	1,971,954
Less amounts not available to meet cash needs for general expenditure within one year:		
Subject to expenditure for specified purpose	<u>(437,408)</u>	<u>(13,457)</u>
Financial assets available to meet cash needs for general expenditures within on year	<u>\$ 1,230,551</u>	<u>\$ 1,958,497</u>

The Organization considers contributions restricted for programs which are ongoing, major and central to its annual operations to be available to meet cash needs for general expenditures. The Organization manages its liquidity and reserves following three guiding principles: operating within a prudent range of financial soundness and stability, maintaining adequate liquid assets to fund near-term operating needs and maintain sufficient reserves to provide reasonable assurance that long-term obligations will be discharged.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Note 3. Net Assets With Donor Restrictions

Net assets with donor restrictions at December 31, 2023 and 2022 are available for the following purpose:

	<u>2023</u>	<u>2022</u>
<u>Subject to expenditure for specified purpose:</u>		
YBI Main Renovations	\$406,918	\$ -
Xjet	25,000	-
IYBI	5,490	3,457
Shark Tank	<u>-</u>	<u>10,000</u>
Total net assets with donor restrictions	<u>\$437,408</u>	<u>\$ 13,457</u>

Note 4. Lines of Credit

The Company has a line of credit agreement in the amount \$500,000. The line of credit is collateralized by equipment and bore interest at 9.50% and 8.50% at December 31, 2023 and 2022, respectively. Total borrowings amounted to \$174,000 and \$385,000 at December 31, 2023 and 2022, respectively. The line of credit is payable on demand.

In 2022, the Company entered into a second line of credit agreement in the amount of \$543,000. The line of credit is collateralized by the building and bore interest at 10.50% at December 31, 2022. Total borrowings amounted to \$211,747 at December 31, 2022 and the line of credit was paid in full prior to December 31, 2023.

Note 5. Long-Term Debt

Long-term debt at December 31, 2023 and 2022 consisted of the following:

	<u>2023</u>	<u>2022</u>
Note payable - mortgage company, monthly installments of \$3,250 are due including interest at 3.70% fixed through July 2027. The loan is collateralized by buildings and rent assignments.	\$834,783	\$864,232
Note payable - monthly installment payments of \$3,764 are due including interest at 4.75% through February 2023. The loan is collateralized by equipment.	-	19,563
Note payable - monthly installment payments of \$2,156 are due including interest at 5.75% through December 2025. The loan is collateralized by equipment.	<u>50,260</u>	<u>71,482</u>
	<u>\$885,043</u>	<u>\$955,277</u>

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO FINANCIAL STATEMENTS (CONTINUED)

Note 5. Long-Term Debt (Continued)

Maturities of long-term liabilities for the next four years are as follows:

2024	\$ 54,739
2025	58,809
2026	33,441
2027	<u>738,054</u>
	<u>\$ 885,043</u>

Note 6. Rental Income

The Organization leases office and industrial space to various tenants with leases expiring through August 2032. Future minimum rental payments expected in years ended December 31 are as follows:

2024	\$ 480,516
2025	373,702
2026	292,702
2027	292,702
2028	292,702
Thereafter	<u>1,073,239</u>
	<u>\$2,805,563</u>

Note 7. Commitments and Contingencies

The Organization has various commitments related to its acceptance of federal, state and local grants.

In May 2015, the Organization was granted appropriations in the amount of \$1,500,000 from the Ohio Board of Regents, which were passed through Youngstown State University ("YSU") as part of a joint use agreement, to renovate the Vindicator Building. During the term of the agreement, YSU will receive use of various space and use of additive manufacturing laboratory and testing equipment for a period of twenty years. In the event that YSU's right to use the building is terminated prior to the expiration of the twenty year term of the agreement, the Organization is required to reimburse the State of Ohio the prorated share of the funds received.

The Organization secured grant funding in the amount of \$3,000,000 to renovate the Vindicator Building. The project was completed in 2017 when the building was placed in service. The grant is subject to potential repayment if the building is not used for the intended purpose for a period of twenty years after the building is placed in service.

**THE YOUNGSTOWN EDISON
INCUBATOR CORPORATION dba
YOUNGSTOWN BUSINESS INCUBATOR**

UNIFORM GUIDANCE AUDIT REQUIREMENTS

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS

Year Ended December 31, 2023

Federal Grantor/Pass-Through Grantor/Program Title	Grant Number	Assistance Listing Number	Passed Through to Subrecipients	Total Federal Expenditures
U.S. Department of Defense:				
Air Force Defense Research Sciences Program				
Passed through the National Center for Defense				
Manufacturing and Machining, America Makes				
National Additive Manufacturing Innovation				
Institute Project	FA8650-16-2-5700	12.800	\$ -	238,004
U.S. Department of Housing and Urban Development:				
Community Development Block Grants/Entitlement Grants				
Passed through the City of Youngstown	B-19-MC-39-0023	14.218	-	30,000
Appalachian Regional Commission:				
Appalachian Area Development				
Direct	PW-20599-IM-22	23.002	-	463,516
Passed through Green Building Alliance	ARC23C21347	23.002	-	1,910
Total Appalachian Regional Commission			-	465,426
U.S. Small Business Administration:				
Prime Technical Assistance				
Passed through Congressional Earmark	SBAHQ22I0106	59.059	103,285	184,485
Passed through Congressional Earmark	SBAHQ23I0020	59.059	-	94,628
Total U.S. Small Business Administration			103,285	279,113
Total federal assistance			\$ 103,285	\$ 1,012,543

The accompanying notes are an integral part of this schedule.

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

NOTES TO SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS

Year Ended December 31, 2023

Note 1. Basis of Presentation

The accompanying schedule of expenditures of federal awards (the "Schedule") includes the federal award activity of The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator (the "Organization") under programs of the federal government for the year ended December 31, 2023. The information in this Schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (the "Uniform Guidance"). Because the Schedule presents only a selected portion of the operations of the Organization, it is not intended to and does not present the financial position, changes in net assets or cash flows of the Organization.

Note 2. Summary of Significant Accounting Policies

Expenditures reported on the Schedule are reported on the accrual basis of accounting. Such expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited in reimbursement. The Organization has elected to use the 10% de minimis indirect cost rate allowed under the Uniform Guidance.



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Independent Auditors' Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an Audit of Financial
Statements Performed in Accordance With *Government Auditing Standards*

Board of Directors
The Youngstown Edison Incubator Corporation
dba Youngstown Business Incubator
Youngstown, Ohio

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator (the "Organization"), which comprise the statement of financial position as of December 31, 2023, and the related statements of activities, functional expenses, and cash flows for the years then ended, and the related notes to the financial statements, and have issued our report thereon dated November 20, 2024.

Report on Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the Organization's internal control over financial reporting ("internal control") as a basis for designing audit procedures that are appropriate in the circumstances for the purpose of expressing our opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control. Accordingly, we do not express an opinion on the effectiveness of the Organization's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control such that there is a reasonable possibility that a material misstatement of the financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses or significant deficiencies may exist that were not identified.

Independent Auditors' Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an Audit of Financial
Statements Performed in Accordance With *Government Auditing Standards* (Continued)

Report on Compliance and Other Matters

As part of obtaining reasonable assurance about whether the Organization's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, noncompliance with which could have a direct and material effect on the financial statements. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the Organization's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Meloney + Novotny LLC

Cleveland, Ohio
November 20, 2024



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Independent Auditors' Report on Compliance for Each Major Program
and on Internal Control Over Compliance Required by the Uniform Guidance

Board of Directors
The Youngstown Edison Incubator Corporation
dba Youngstown Business Incubator
Youngstown, Ohio

Report on Compliance for Each Major Federal Program

Opinion on Each Major Federal Program

We have audited The Youngstown Edison Incubator Corporation dba Youngstown Business Incubator's (the "Organization"), compliance with the types of compliance requirements identified as subject to audit in the U.S. Office of Management and Budget ("OMB") *Compliance Supplement* that could have a direct and material effect on the Organization's major federal program for the year ended December 31, 2023. The Organization's major federal program is identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

In our opinion, the Organization complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on its major federal program for the year ended December 31, 2023.

Basis for Opinion on Each Major Federal Program

We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America ("GAAS"); the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. *Code of Federal Regulations Part 200, Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* ("Uniform Guidance"). Our responsibilities under those standards and the Uniform Guidance are further described in the Auditors' Responsibilities for the Audit of Compliance section of our report.

We are required to be independent of the Organization and to meet our other ethical responsibilities, in accordance with relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on compliance for each major federal program. Our audit does not provide a legal determination of the Organization's compliance with the compliance requirements referred to above.

Independent Auditors' Report on Compliance for Each Major Program
and on Internal Control Over Compliance Required by the Uniform Guidance (Continued)

Responsibilities of Management for Compliance

Management is responsible for compliance with the requirements referred to above and for the design, implementation, and maintenance of effective internal control over compliance with the requirements of laws, statutes, regulations, rules, and provisions of contracts or grant agreements applicable to the Organization's federal programs.

Auditors' Responsibilities for the Audit of Compliance

Our objectives are to obtain reasonable assurance about whether material noncompliance with the compliance requirements referred to above occurred, whether due to fraud or error, and express an opinion on the Organization's compliance based on our audit. Reasonable assurance is a high level of assurance but is not absolute assurance and, therefore, is not a guarantee that an audit conducted in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance will always detect material noncompliance when it exists. The risk of not detecting material noncompliance resulting from fraud is higher than for that resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Noncompliance with the compliance requirements referred to above is considered material if there is a substantial likelihood that, individually or in the aggregate, it would influence the judgment made by a reasonable user of the report on compliance about the Organization's compliance with the requirements of each major federal program as a whole.

In performing an audit in accordance with GAAS, *Government Auditing Standards*, and the Uniform Guidance, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material noncompliance, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the Organization's compliance with the compliance requirements referred to above and performing such other procedures as we considered necessary in the circumstances.
- Obtain an understanding of the Organization's internal control over compliance relevant to the audit in order to design audit procedures that are appropriate in the circumstances and to test and report on internal control over compliance in accordance with the Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of the Organization's internal control over compliance. Accordingly, no such opinion is expressed.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and any significant deficiencies and material weaknesses in internal control over compliance that we identified during the audit.

Independent Auditors' Report on Compliance for Each Major Program
and on Internal Control Over Compliance Required by the Uniform Guidance (Continued)

Report on Internal Control Over Compliance

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the Auditors' Responsibilities for the Audit of Compliance section above and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies in internal control over compliance. Given these limitations, during our audit we did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses, as defined above. However, material weaknesses or significant deficiencies in internal control over compliance may exist that were not identified.

Our audit was not designed for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, no such opinion is expressed.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of the Uniform Guidance. Accordingly, this report is not suitable for any other purpose.

Meloney + Novotny LLC

Cleveland, Ohio
November 20, 2024

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

Year Ended December 31, 2023

Section I - Summary of Auditor's Results

Financial Statements

Type of report the auditor issued on whether the
financial statements audited were prepared in
accordance with GAAP:

Unmodified

Internal control over financial reporting:

Material weakness(es) identified?

_____ yes X no
_____ yes X none reported

Significant deficiency(ies) identified?

Noncompliance material to financial statements
noted?

_____ yes X no

Federal Awards

Internal control over major federal programs:

Material weakness(es) identified?

_____ yes X no
_____ yes X none reported

Significant deficiency(ies) identified?

Type of auditor's report issued on compliance
for major federal programs:

Unmodified

Any audit findings disclosed that are required to
be reported in accordance with 2 CFR section
200.516(a)?

yes X no

Identification of major federal programs:

Assistance Listing Number(s)

Name of Federal Program or Cluster

23.002

Appalachian Area Development

Dollar threshold used to distinguish between
Type A and Type B programs:

\$750,000

Auditee qualified as a low risk auditee?

_____ yes X no

THE YOUNGSTOWN EDISON INCUBATOR CORPORATION
dba YOUNGSTOWN BUSINESS INCUBATOR

SCHEDULE OF FINDINGS AND QUESTIONED COSTS (CONTINUED)

Year Ended December 31, 2023

Section II - Financial Statement Findings

No matters are reported.

Section III - Federal Award Findings and Questioned Costs

No matters are reported.